Docket No. 18-0918

IN THE

Supreme Court of the United States

January Term, 2019

IN RE BACKSTREETS PLOWING, INC.,
Debtor,

STEVEN VIN SANT, CHAPTER 7 TRUSTEE,
Petitioner

v.

MILTON WEINBERG,

Respondent.

On Writ of Certiorari to the United States Court of Appeals for the Thirteenth Circuit

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BRIEF FOR PETITIONER

Team P37
Counsel for Petitioner

Oral Argument requested

QUESTIONS PRESENTED

1. May a secured creditor refuse to return property of the estate seized prepetition when 11 U.S.C. § 362(a)(3) expressly forbids a creditor from exercising control over the property and does not distinguish between property seized pre- or post-petition?
2. May a secured creditor claim an administrative expense for a substantial contribution under 11 U.S.C. § 503(b) in a case under chapter 7 even though § 503(b)(3)(D) explicitly limits such expenses to cases under chapters 9 and 11?

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OPINIONS BELOW

The decisions and orders of the U.S. Bankruptcy Court for the District of Moot and the decision for the U.S. Bankruptcy Appellate Panel for the Thirteenth Circuit are unreported and therefore unavailable. This opinion is set forth in the Decision of the U.S. Court of Appeals for the Thirteenth Circuit in Case No. 17-0805, dated March 5, 2018, and is incorporated in the record on appeal (hereinafter "R.").

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STATEMENT OF CONSTITUTIONAL AND STATUTORY PROVISIONS

The constitutional and statutory provisions below are relevant to determine the present case, and selected statutes are reproduced in Appendices A and B.

U.S. Const. art. 1, § 8, cl. 4;

11 U.S.C. §§ 362, 363, 502, 503, 542.

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BRIEF FOR PETITIONER

TO THE SUPREME COURT OF THE UNITED STATES:

Petitioner, Steven Vin Sant, appellant in Docket No. 17-0805 before the U.S. Court of Appeals for the Thirteenth Circuit, respectfully submits this brief on the merits and asks this Court to reverse and remand the decision of the Thirteenth Court of Appeals.

STATEMENT OF THE FACTS

The Parties. This case involves a company attempting to do precisely what the Bankruptcy Code is meant to promote: reorganize. Backstreets Plowing, Inc. (the "Debtor") operated a seasonal snow plow business with Christopher Clemons ("Clemons") as its sole shareholder. (R. at 3). In the spring of 2015, Clemons asked Milton Weinberg ("Weinberg") to borrow $450,000 to purchase new, more fuel-efficient snow plow trucks to compete for a valuable plowing contract with the city where the Debtor was headquartered. (R. at 3–4).

The Agreement. Weinberg agreed to the loan after the Debtor granted Weinberg a security interest in the trucks. (R. at 4). Clemons, believing in the future of the company, personally guaranteed the loan. (R. at 4). The Debtor agreed to make monthly payments to Weinberg beginning when the plowing business started generating revenue in December 2015. (R. at 4). In August 2015, shortly after receiving the loan, the Debtor purchased the new trucks. (R. at 4).

The Winning Bid. With the new snow plow trucks in hand, the Debtor could avoid the costs of fuel, maintenance, and repairs that came with its old trucks. (R. at 3). The Debtor was able to bid for a snow plowing contract with the city far superior to its competitors. (R. at 3–4). The city council awarded the contract to the Debtor. (R. at 4).

The Dispute Between Weinberg and Clemons. In true sports fanatic fashion, Clemons and Weinberg had a falling out over whose college football team was better. (R. at 4–5). The two did not speak again "for some time thereafter," until February 2016, when Weinberg went to the Debtor's facility to discuss a few missed payments. (R. at 5). In April 2016, Weinberg filed a lawsuit regarding the Debtor's missed monthly payments and Clemons's personal guarantee. (R. at 5). Weinberg obtained a default judgment for $450,000 plus interest and fees, but did not take any action to collect on his judgment at the time. (R. at 5).

The Bankruptcy Filing. Of particular concern for snow plow companies, the 2016–2017 winter was exceptionally brutal, and the Debtor could barely keep up with the demand. (R. at 5). In January 2017, Weinberg hired repo-men, who confiscated the snow plow trucks later that month. (R. at 6). Without the snow plow trucks—a key component of a successful snow plow company—the Debtor was unable to fulfill its plowing contract with the city. (R. at 6). Consequently, the Debtor filed for chapter 11 bankruptcy on February 4, 2017.

The Demand for Property of the Estate.[1] Shortly after filing for bankruptcy, the Debtor's attorneys demanded that Weinberg turnover the snow plow trucks immediately. (R. at 6). Weinberg refused, claiming that the Debtor had the burden to bring a turnover action. (R. at 6). Further, Weinberg argued that adequate protection was a defense to a turnover action. (R. at 6). In response, the Debtor claimed that retaining the snow plow trucks violated the automatic stay under 11 U.S.C. § 362(a)(3). In a "close call," the bankruptcy court ruled for Weinberg. (R. at 6). The Debtor timely appealed the bankruptcy court's ruling. (R. at 6).

The Inability to Reorganize. Seeing as how the Debtor could not run a snow plow business without snow plows, the city did not offer a new contract for the following year. (R. at 7). Any possibility of reorganization thus melting away, the Debtor converted to chapter 7. (R. at 7). After the trustee was appointed, the Bankruptcy Appellate Panel stayed the pending appeal to allow the trustee time to warm up to the case. (R. at 7).

The Unauthorized Discovery. Less than a month after the trustee received the case, Weinberg attempted to collect on his seven-month-old judgment with the help of a collections firm. (R. at 7). These efforts uncovered fraudulent money transfers Clemons had made soon after

[1] It is not disputed by the parties that the snow plow trucks are property of the estate under the scope of 11 U.S.C. § 541(a)(1). (R. at 10).

Weinberg filed suit. (R. at 7). After obtaining information regarding the transfers during a Chapter 7 proceeding, Weinberg delivered documentation and testimony to the trustee which allowed the trustee to recover $75,000 for the estate.[2] (R. at 7).

The Administrative Expense Claim. Subsequently, Weinberg sought an administrative expense for the legal fees he incurred by collecting on his judgment. (R. at 7). The trustee opposed the motion because § 503(b)(3)(D) does not mention administrative expenses in a chapter 7 case. (R. at 8). The bankruptcy court approved the motion, but the trustee timely appealed. (R. at 8).

The Estate's Loss. In September 2017, a competing snow plow business offered to purchase substantially all of the Debtor's assets, contingent upon receiving the snow plow trucks that Weinberg was holding hostage. (R. at 8). When Weinberg refused to turn over the snow plow trucks as part of the sale, the competitor withdrew its generous purchase offer. (R. at 8). Four months later, a second competing snow plow business bought the Debtor's assets for $100,000 less without the snow plow trucks. (R. at 8). Because of Weinberg's obstinance, the trustee accepted this lower offer lest the value drop precipitously after winter. (R. at 9).

The Appeals. The trustee pursued the appeals after the sale closed. (R. at 9). The Thirteenth Circuit affirmed the bankruptcy court on both issues. (R. at 16). This appeal followed. (R. at 1).

[2] It is undisputed that Weinberg's discovery was a substantial contribution. (R. at 17).

SUMMARY OF THE ARGUMENT

The Court of Appeals for the Thirteenth Circuit's erroneous judgment should be reversed because its analysis ignores the plain meaning of the Bankruptcy Code. In violation of the automatic stay in 11 U.S.C. § 362(a)(3), Weinberg continuously exercised control over property of the estate. Section 542(a) of the Code creates an affirmative duty on the petition date for non-debtors to turnover estate property. This duty is self-executing, meaning that the non-debtor bears the burden of turning over the property and seeking adequate protection of its interest. By refusing to turn over the snow plow trucks in accord with § 542(a), Weinberg exercised control of estate property, ruining any chance of success for the Debtor in chapter 11 and ultimately foiling the trustee's ability to maximize value for creditors in chapter 7. Judicial approval of this behavior will frustrate the purpose of the automatic stay and heap the additional burden of hunting down estate property upon debtors already treading on thin ice.

In addition, Weinberg asks this Court to grant him a substantial contribution administrative expense under 11 U.S.C. § 503(b) even though § 503(b)(3)(D) only applies to cases under chapters 9 and 11. Based on a convoluted reading of the word "including" in the prefatory language in 11 U.S.C. § 503(b), Weinberg asserts that when Congress said that creditors may recover for a substantial contribution in cases under chapters 9 and 11, Congress intended this relief to apply to cases under chapter 7, too. This single instance of recovery under chapter 7 would snowball into an unregulated system of vigilante creditors trying to collect on their debts outside of the Code instead of letting trustees work as the Code intended. And, except in the rarest cases, this avalanche would only bury chances for creditor recovery and harm the estate.

Accordingly, this Court should reverse and remand the decision of the Thirteenth Circuit with instructions to dismiss Weinberg's substantial contribution claim.

ARGUMENTS AND AUTHORITIES

The Thirteenth Circuit should be reversed on both issues because it misinterpreted the Bankruptcy Code's plain text in ways that would make a fresh start impossible for debtors and decrease the value of estates for creditors. Weinberg refused to abide by the automatic stay when he actively withheld the snow plow trucks after the Debtor requested their turnover. Additionally, Weinberg now seeks a substantial contribution administrative expense under 11 U.S.C. § 503(b)(3)(D) even though that statute's plain language forbids it. Upholding a substantial contribution claim allows Weinberg to circumvent the plain text of the Bankruptcy Code and "promotes the interests of individual creditors over the bankruptcy estate and its creditor constituency by 'rewriting the law under the pretense of interpreting it.'" (R. at 21) (quoting *King v. Burwell*, 135 S. Ct. 2480, 2506 (2015) (Scalia, J., dissenting)). For these reasons, this Court should reverse and remand the Thirteenth Circuit's decision with instructions to deny Weinberg's request for administrative expenses.[3]

Decisions of bankruptcy courts are subject to de novo review for conclusions of law and to a clear error standard of review for findings of fact. *Alexander v. Compton (In re Bonham)*, 229 F.3d 750, 763 (9th Cir. 2000). As both issues in this case involve erroneous conclusions of law, this Court should apply a de novo standard of review. *See id.*

I. THE BANKRUPTCY CODE PROHIBITS CREDITORS FROM RETAINING ESTATE PROPERTY, MAKING NO DISTINCTION BETWEEN ACTIVE AND PASSIVE RETENTION.

The Thirteenth Circuit's decision below is erroneous because the plain text of the Bankruptcy Code forbids a creditor to refuse to turn over property of the estate once a bankruptcy petition is filed. The automatic stay in § 362(a)(3) prohibits retaining such property even if it were

[3] The trustee reserves the right to request damages for the stay violation upon remand. 11 U.S.C. § 362(k).

seized pre-petition. *See* 11 U.S.C. § 362(a)(3) (2016); *Knaus v. Concordia Lumber Co. (In re Knaus)*, 889 F.2d 773, 775 (8th Cir. 1989). Not only does § 362(a)(3) prohibit retention, but § 542(a) also requires turnover to the trustee. *See* 11 U.S.C. § 542(a) (2016). Creditors may move for adequate protection under § 363(e), but only after they have turned over any estate property in their possession. *See id.* § 363(e). Weinberg's obstinate violation of the automatic stay foiled the Debtor's chances of reorganization and cost the estate $100,000 at the trustee's sale.

A. The Automatic Stay Prohibits Exercising Control of Estate Property and Weinberg Must Return the Snow Plow Trucks Without Compulsion.

As a critical facet of the remedial nature of bankruptcy, the automatic stay is meant to relieve the debtor of pressure and harassment from creditors trying to collect. 3 Collier on Bankruptcy ¶ 362.03 (Richard Levin & Henry J. Sommer eds., 16th ed. rev. 2018). This relief is reflected in § 362(a)(3), which stays "any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate." 11 U.S.C. § 362(a)(3). Because Weinberg refused to return the snow plow trucks both during the Debtor's chapter 11 reorganization and during the Debtor's chapter 7 liquidation, he exercised control over property of the estate in willful violation of the stay. Consequently, this Court should reverse and remand the Thirteenth Circuit's holding.

1. A Plain Reading of the Automatic Stay Does Not Allow Passive Retention of Estate Property—Even when Originally Obtained Peaceably Prepetition.

The automatic stay requires creditors to immediately return any property of the estate in their possession because refusing to do so is an act to exercise control. The "cardinal canon" of statutory construction is to "presume that a legislature says in a statute what it means and means in a statute what it says there." *Conn. Nat. Bank v. Germain*, 503 U.S. 249, 253–54 (1992). It is this Court's "duty to give effect, if possible, to every clause and word of a statute." *Duncan v. Walker*, 533 U.S. 167, 174 (2001) (citation omitted). Doing otherwise would render Congress's

intent void. *See id*. The relevant language in § 362(a)(3) is "any act . . . to exercise control over property of the estate." 11 U.S.C. § 362(a)(3). Neither "act" nor "exercise control" is defined in the Code, so both words are accorded their ordinary, dictionary meanings. *See Asgrow Seed Co. v. Winterboer*, 513 U.S. 179, 187 (1995).

The novel reading espoused by the majority is unpersuasive because it avoids words that are inconvenient. The court clings to the word "act" in § 362(a)(3) at the expense of the rest of the statute. (R. at 10); *see WD Equip., LLC v. Cowen (In re Cowen)*, 849 F.3d 943, 948 (10th Cir. 2017). The majority consulted Black's Law Dictionary to find that "act" means "the process of doing something or performing." (R. at 11). Thus, the automatic stay only prohibits "some affirmative, post-petition conduct," not the passive retention at issue here. (R. at 10). But even if that were correct, Weinberg's conduct would still violate the stay. When Weinberg refused to return the snow plows, he ceased to passively retain them. Instead, he "did something" to exercise control over them. (R. at 23) (Moon, J., dissenting).

Satisfied that "act" foreclosed any further plain meaning analysis, the Thirteenth Circuit ignored the phrase "exercise control over" at the expense of Congress's intent. The plain meaning of "control" is "to exercise restraining or directing influence over" or "to have power over." *Thompson v. Gen. Motors Acceptance Corp.*, 566 F.3d 699, 702 (7th Cir. 2009) (citing Merriam-Webster's Collegiate Dictionary (11th ed. 2003)). "Holding onto an asset, refusing to return it, and otherwise prohibiting a debtor's beneficial use of an asset all fit within this definition." *Id*. The definition of "control" alone is enough to see that Weinberg's conduct is prohibited, but the definition of "exercise" erases any doubt.

"Exercise" means "to put into play or operation, employ." Eugene Wedoff, *The Automatic Stay Under §362(a)(3)—One More Time*, 38 Bankr. L. Letter 7, July 2018, at 1 (citing American

Heritage College Dictionary (3d ed. 1997)). Taken together, "exercise control over" means "putting into operation restraining influence over." *See id.*; *Thompson*, 566 F.3d at 702. Having been put into play by Weinberg's refusals, the "passive retention" is an ongoing restraining influence over the snow plows. As such, Weinberg's "passive retention" of the snow plows is a violation of the automatic stay by the plain meaning of the words in the statute.

Here, Weinberg's repeated refusals to hand over the snow plow trucks were acts to exercise control over property of the estate. The majority reads the stay to prohibit the creditor from "doing something" and so "not turning over" the property does not qualify as a violation. (R. at 11). But refusing to turnover the snow plows is doing something, and it caused the Debtor's business to freefall through chapter 11 into chapter 7, eventually costing the estate $100,000 at sale. (R. at 8). Instead of cooperating with the estate and the trustee, Weinberg exercised control over the snow plows and, consequently, prevented the estate from maximizing its value.

2. The History of the Automatic Stay Evidences Congress's Intent to Require Creditors to Return Estate Property upon Creation of the Estate.

The reading of the plain language above is bolstered by the history of § 362(a)(3) itself and its interpretation by courts. Congress added the phrase "exercise control over" to the statute in 1984 to better maximize the value of the estate for creditors and allow a fresh start for debtors. *See Abrams v. Sw. Leasing & Rental Inc. (In re Abrams)*, 127 B.R. 239, 242 (B.A.P. 9th Cir. 1991). After all, "the reorganization effort would have small chance of success" if "property essential to running the business were excluded from the estate." *United States v. Whiting Pools, Inc.*, 462 U.S. 198, 203 (1983) (citing 1 Collier on Bankruptcy ¶ 3.05, at 431 (James Wm. Moore & Lawrence P. King eds., 14th ed. rev. 1978)). The change was enacted after the *Whiting Pools* decision to "broaden[] the already sweeping provisions of the automatic stay." *Weber v. SEFCU (In re Weber)*, 719 F.3d 72, 80 (2d Cir. 2013) (citing Bankruptcy Amendments and Federal

Judgeship Act of 1984, Pub. L. No. 98–353, 98 Stat. 333, 371 (1984)). Before the amendments, § 362(a)(3) only prevented "acts to obtain possession of property of the estate," so the inference is that "exercise control" applies to property already in a creditor's possession. *See Thompson*, 566 F.3d at 702; *In re Knaus*, 889 F.2d at 775. This amendment fits with this Court's decision in *Whiting Pools* and Congress's intent that creditors not retain property of the estate to the detriment of bankruptcy procedure and the debtor. *In re Weber*, 719 F.3d at 80.

Since Congress added that language to the Bankruptcy Code in 1984, nearly every circuit court that has faced the issue has agreed that retaining possession of estate property violates the automatic stay. *See In re Weber*, 719 F.3d at 81; *Thompson*, 556 F.3d at 707–08; *State of Cal. Emp't Dev. Dept. v. Taxel (In re Del Mission Ltd.)*, 98 F.3d 1147, 1151 (9th Cir. 1996); *In re Knaus*, 889 F.2d at 775. Only recently did the Tenth Circuit espouse the less intuitive reading onto which the majority opinion latched. *See In re Cowen*, 849 F.3d at 948.

The Thirteenth Circuit also relied on *United States v. Inslaw, Inc.*, 932 F.2d 1467 (D.C. Cir. 1991), to create the impression of parallel tracts of statutory interpretation, but *Inslaw* actually agrees with the majority approach. (R. at 11) (citing *Inslaw*, 932 F.2d at 1468). In *Inslaw*, the Department of Justice contracted with Inslaw to install a prosecution management system on DOJ computers. *Inslaw*, 932 F.2d at 1470. After Inslaw filed for chapter 11, DOJ made copies of an enhanced version of the software and distributed it to other offices in the Department. *Id*. Inslaw filed a breach of contract claim because DOJ was operating his program without paying a licensing fee. *Id*. The D.C. Circuit ruled that DOJ was not required to turn over the allegedly unlicensed programs because DOJ "held the copies under a claim of ownership." *Id.* at 1472. However, the court stated unequivocally that "turnover of property admitted to belong to the debtor is required."

Id. (citing *In re Knaus*, 889 F.2d at 775). Thus, upon further inspection, *Inslaw* does not stand for the proposition that passive retention is allowed under 362(a)(3)—just the opposite.

Here, no question exists that the snow plow trucks were property of the estate as the debtor retained title to the trucks after the prepetition repossession. The only question is whether the automatic stay compels Weinberg to return them, and, as the majority of circuit courts that have faced this question have decided, that answer is yes. Allowing the Thirteenth Circuit's interpretation of § 362(a)(3) to stand would render "exercise control over" meaningless and read out of the statute Congress's intent that creditors not retain estate property.

B. The Turnover Provision in § 542(a) Requires the Return of Estate Property, Thereby Requiring Weinberg to Have Turnovered the Snow Plow Trucks.

Even if this Court believes § 362(a) alone does not require Weinberg to return the snow plow trucks, Weinberg still must return the trucks under the "turnover provision." Section 542(a) provides that any entity "in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 . . . *shall* deliver to the trustee, and account for, such property . . . ." 11 U.S.C. § 542(a) (emphasis added). "Shall" refers to a mandatory action in statutory construction, so this provision is self-executing when a debtor files for bankruptcy. *See Mwangi v. Wells Fargo Bank, N.A. (In re Mwangi)*, 432 B.R. 812, 823 (B.A.P. 9th Cir. 2010) ("It has long been the determination of this panel that the turnover provisions of the Bankruptcy Code are to be self-effectuating."). Section 542(a) has exceptions built in to its mandate, but adequate protection under § 363(e) is not one of them. Rather, the burden is on the creditor to move for adequate protection *after* the property has been turned over to the trustee. 11 U.S.C. § 363(e) (2016). Accordingly, this Court should reverse the Thirteenth Circuit's decision and hold that § 542(a) is self-executing.

1. This Court Has Already Concluded that § 542(a) Requires a Creditor to Return Estate Property Even if Seizure Occurred Prepetition.

Once again, it is a recognized principle that the "starting point for interpreting a statute is the language of the statute itself." *Consumer Prod. Safety Comm'n v. GTE Sylvania, Inc.*, 447 U.S. 102, 108 (1980). Section 542(a) provides plainly that an entity in possession of estate property "shall" turn that property over to the trustee. 11 U.S.C. § 542(a). "Shall" is mandatory. *See, e.g.*, *Escondido Mut. Water Co. v. La Jolla Indians*, 466 U.S. 765, 772 (1984) (explaining the "mandatory nature of the language chosen by Congress" in using "shall"). Thus, because a plain reading of § 542(a) requires that an entity holding property of the estate turnover that property to the trustee, the analysis should end there. *See In re Weber*, 719 F.3d at 79; *see also* 5 Collier on Bankruptcy ¶ 542.203 (Richard Levin & Henry J. Sommers eds., 16th ed. rev. 2018) (explaining that § 542(a) "does not require that the trustee take any action or commence a proceeding or obtain a court order to compel the turnover."). Weinberg was holding property of the estate; therefore, he should have turned it over.

The issue of § 542(a)'s plain meaning was resolved thirty-six years ago when this Court held in *Whiting Pools* that the provision requires turnover at the time of filing. *Whiting Pools*, 462 U.S. at 205. In addition to this clear holding, this Court reasoned that the inclusion of property "under § 363" in § 542(a) meant that Congress intended to include property in which a creditor has a secured interest. *Id.* at 203; *Brown v. Pyatt (In re Pyatt)*, 486 F.3d 423, 427 (8th Cir. 2007). Because the reorganization estate is so broad, it even "includes property of the debtor that has been seized by a creditor *prior* to the filing of a petition for reorganization." *Whiting Pools*, 462 U.S. at 209 (emphasis added). Thus, *any* property of the estate, no matter where in the world it is and no matter who in the world possesses it, must be turned over to the estate.

This Court relied on the legislative history of § 542(a) in *Whiting Pools* to bolster its decision. The House Report intentionally included property that was "merely out of the possession of the debtor, yet remained 'property of the debtor.'" H.R. Rep. No. 95–195 (1977). Thus, Congress contemplated the situation this Court is presented with today and decided to force creditors to turn the property in their possession over. *See Whiting Pools*, 462 U.S. at 205. It is so expansive, that in *Whiting Pools*, even the IRS was required to return property it had seized prepetition. *Id.* at 209.

Ever since *Whiting Pools*, a majority of circuit courts have interpreted § 542(a) according to this Court's decision. *See Shapiro v. Henson*, 739 F.3d 1198, 1200 (9th Cir. 2014); *In re Weber*, 719 F.3d at 80; *Thompson*, 566 F.3d at 704; *In re Knaus*, 889 F.2d at 775. The Eighth Circuit, for example, plainly stated: "We fail to see any distinction between a failure to return property taken before the stay and a failure to return property taken after the stay. In both cases the law clearly requires a turnover." *In re Knaus*, 889 F.2d at 775. It is as simple as that. Creditors must turn over property of the estate if it is in their possession. *Id.*

The Eleventh Circuit is the only other circuit court to disagree with this majority interpretation, but did so because applicable state law required a different result. *See Bell-Tel Deferral Credit Union v. Kalter (In re Kalter)*, 292 F.3d 1350, 1353 (11th Cir. 2002) (applying Florida law); *Charles R. Hall Motors, Inc. v. Lewis (In re Lewis)*, 137 F.3d 1280, 1283 (11th Cir. 1998) (applying Alabama law). In *In re Kalter*, the court analyzed whether a debtor's cars that had been seized prepetition were property of the estate. *See In re Kalter*, 292 F.3d at 1353. The court explained that "the nature and existence of the debtor's right to property is determined by looking at state law." *Id*.; *see also Butner v. United States*, 440 U.S. 48, 55 (1979) ("In the absence of a specific bankruptcy provision requiring different treatment, property interests are created and

defined by state law[,] and there is no reason why such interest should be analyzed differently simply because an interested party is involved in a bankruptcy proceeding."). The Eleventh Circuit ultimately held that § 542(a) did not require the creditor to return the cars, but only because Florida law dictates that ownership passes when the creditor repossesses the vehicle. *Id.* at 1360. Unlike *In re Kalter*, there is no question in the case at hand that the seized snow plow trucks are part of the estate.[4] The Eleventh Circuit's analysis is therefore inapplicable to this case.

Weinberg's refusal to turn over the snow plow trucks to the Debtor caused exactly the type of irreparable damage that the Code seeks to avoid. The Debtor's attorneys demanded Weinberg return the trucks shortly after the Debtor filed for chapter 11 bankruptcy. (R. at 6). However, Weinberg refused and erroneously claimed that the Debtor had the burden to bring a turnover action. (*See* R. at 6). By doing so, he disregarded that the plain language of § 542(a) makes no distinction between estate property seized pre- or post-petition. (R. at 7); *see In re Knaus*, 889 F.2d at 775. This denial caused the Debtor's reorganization to fail because without trucks, the city council refused to offer the Debtor a new contract for the following year. (R. at 7). Consequently, the Debtor was forced to convert the case to chapter 7. (R. at 7). This result is precisely why Congress chose to use § 542(a) to require a turnover: to protect debtors and allow businesses to succeed by promoting the ability to reorganize. *Whiting Pools*, 462 U.S. at 204. Because Weinberg willfully violated the turnover provision, the decision below should be reversed.

2. Section 363(e) Does Not Grant Creditors Permission to Intentionally Ignore the Self-Executing Requirements of the Turnover Provision.

The Thirteenth Circuit's misreading of *Whiting Pools* suggests that creditors may avoid the Bankruptcy Code's turnover requirement by hiding behind the ski mask of adequate protection.

[4] The parties have stipulated that "the snow plow trucks constitute property of the estate within the scope of § 541(a)(1)." (R. at 10).

The majority takes the phrase "[w]hile there are explicit limitations on the reach of § 542(a)" as a license to read § 363(e)'s adequate protection into the turnover provision. *Whiting Pools*, 462 U.S. at 206; (R. at 14). On the contrary, this Court plainly laid out the circumstances in which a holder of property does not have to turn property over to the trustee under § 542: (1) "when the property is of inconsequential value or benefit to the estate," (2) "when the holder of the property has transferred it in good faith without knowledge of the petition," or (3) "when the transfer of the property is automatic to pay a life insurance premium." *Whiting Pools*, 462 U.S. at 206, n.12. Noticeably absent from this list is adequate protection under § 363(e). *See Thompson*, 566 F.3d at 703. As noted above, § 363 is only mentioned in § 542(a) to refer to the types of property that must be turned over, not to give creditors an out from their duty to the estate.

Adequate protection is not an exception to the turnover provision, but rather stands in place of retaining property. Section 363(e) provides that "at any time, *on request* of an entity that has an interest in property" subject to a trustee's use, "the court . . . shall prohibit or condition" such use "to provide adequate protection of such interest." 11 U.S.C. § 363(e) (emphasis added). Thus, the creditor has the burden of requesting adequate protection because the automatic stay "draw[s] back into the estate" the right of possession claimed by a creditor and substitutes it with "adequate protection." *Id.* at 703–04 (citation omitted). Congress's intended procedure is this: debtor files for bankruptcy; creditor turns over property of the estate; then, if it so desires, the creditor may request adequate protection.

The procedure is set up this way because if it were the debtor who was responsible for bearing the costs to seek relief, then not only would the debtor be hurt, but all of the other creditors too "by virtue of decreasing the value of the bankruptcy estate." *Id.* at 707. Moreover, if creditors were allowed to seize property and refuse to turn it over, then they would have "no incentive to

seek adequate protection" because they are protecting the property themselves. *Id.* at 704. So, contrary to the majority opinion's assertion, prohibiting passive retention under the automatic stay does not wipe out § 363(e) but rather is most faithful to it. Interpreting § 542(a) to allow creditors to refuse turnover under the name of adequate protection would render § 363(e) superfluous, a statutory interpretation result that this Court consistently seeks to avoid. *See Freeman v. Quicken Loans*, 566 U.S. 624, 635 (2012); *Duncan*, 533 U.S. at 172. This result implicates this Court's century-old teaching that a provision "cannot be held to destroy itself." *Tex. & P. Ry. Co. v. Abilene Cotton Oil Co.*, 204 U.S. 426, 446 (1907).

In the case at hand, Weinberg unreasonably and in violation of the Code refused to turnover the snow plow trucks. (R. at 6). Further, he attempted to put the burden on the Debtor and the trustee to bring a turnover action and is ready to demand adequate protection as a way to rebut that turnover action. (R. at 6, 12). This is not the procedure § 542(a) contemplates. Contrary to Weinberg and the Thirteenth Circuit's assertions, § 542(a) is self-executing and demands creditors turnover property before moving for adequate protection. That a debtor must file a turnover action for every piece of property that a creditor is worried about has no basis in the text. As the Eighth Circuit explained, if a holder of property of the estate could "without costs to themselves, compel the debtor or his trustee to bring suit as a prerequisite for returning property," even the powers of the bankruptcy courts themselves would be in jeopardy. *In re Knaus*, 889 F.2d at 775 (internal citations omitted). Further, allowing Weinberg to maintain possession of the snow plow trucks as adequate protection or until the Debtor brings a turnover action, would "essentially remove the equitable powers of the bankruptcy court" and place Weinberg "in a position above other secured creditors." *See Thompson*, 566 F.3d at 707.

Weinberg improperly shifted the burden to the Debtor to bring a turnover action, ignoring that the duty to turnover "arises upon the filing of the bankruptcy petition." *In re Knaus*, 889 F.2d at 775. Weinberg's refusal to accept the burden that the Code places on him violated the plain language of § 362(a), § 542(a), and a core principle of bankruptcy—to allow reorganization. (*See* R. at 6). Congress intentionally refused to place the burden on debtors to bring a turnover action because "a primary purpose of the automatic stay is to afford debtors an opportunity to continue their business with their available assets." *Id.* (citation omitted). This Court should therefore reverse and remand the lower court's decision.

II. SECTION 503(b)(3)(D) PRECLUDES ADMINISTRATIVE EXPENSE CLAIMS FOR A SUBSTANTIAL CONTRIBUTION IN A CHAPTER 7 CASE.

Administrative expenses are paid second in the priority scheme, and as such, they are strictly construed. *See* 11 U.S.C. § 507(a)(2) (2016). The plain language of 11 U.S.C. § 503(b)(3)(D) only allows administrative expenses for a substantial contribution by a creditor in cases under chapters 9 and 11. Because Weinberg's substantial contribution occurred after the case converted to chapter 7, Weinberg is not entitled to an administrative expense. Moreover, Weinberg is attempting to shift his attorneys' fees onto the estate absent explicit statutory authority. Therefore, his claim implicates this Court's recent decision in *Baker Botts L.L.P. v. ASARCO LLC*, which bars recovery before reaching the question of whether these fees are allowed as a substantial contribution under § 503(b)(3)(D). Accordingly, this Court should reverse the Thirteenth Circuit's decision and dismiss Weinberg's claim for fees.

A. This Court Has Already Forbid Fee Shifting Under the Statutory Scheme and Prohibits Weinberg from an Administrative Expense.

This Court recently determined that "absent explicit statutory authority" allowing fees from another source, the American Rule requires each litigant to pay for its own attorneys' fees. *Baker Botts L.L.P. v. ASARCO LLC*, 135 S. Ct. 2158, 2164 (2015); *see also In re Seaman*, 588 B.R. 790,

798 (Bankr. W.D. Mich. 2018). The Court in *ASARCO* forbade collection of attorneys' fees for fee-defense litigation under § 330(a)(1)(A) after determining that § 330(a)(1) itself does not provide specific statutory authorization to displace the American Rule. *Id.* at 2169.

This Court's decision in *ASARCO* also applies in the context of § 503(b)(3)(D). *In re Enloe*, No. 14-36358, 2016 WL 4595921, at *3 (Bankr. S.D. Tex. Sept. 1, 2016). The court in *In re Enloe* determined that the American Rule precludes a substantial contribution claim under § 503(b)(3)(D) in a chapter 7 case. *Id.* Even though fee shifting is allowed under § 503(b)(4) for expenses incurred under § 503(b)(3), because fee shifting is not explicitly authorized for cases under chapter 7, *ASARCO* prohibits fee shifting under § 503(b)(3)(D). *Id*.

Here, Weinberg did not begin a creditor's examination of the Debtor until May 2017, at which point, the case had already been converted to chapter 7 for a month. (R. at 7). Even though his investigation stemmed from a judgment entered prior to conversion to chapter 7, he only acted on that judgment post conversion. Therefore, Weinberg's actions do not fall under the purview of § 503(b)(3)(D) because § 503(b)(4) does not provide the specific statutory authorization for fee shifting in this case. Thus, because *ASARCO* and the American Rule govern, Weinberg cannot overcome the threshold requirements for the allowance of his claim for an administrative expense.

B. The Plain Language of § 503(b)(3)(D) Does Not Permit Substantial Contribution Administrative Expenses in a Case under Chapter 7.

Should this Court find that *ASARCO* does not control the result here, the plain text of § 503(b)(3)(D) precludes recovery of an administrative expense in this case, too. The United States Constitution specifically grants Congress the power to establish "uniform laws on the subject of bankruptcies," and Congress has chosen to strictly limit administrative expenses. *See* U.S. Const. art. I, § 8, cl. 4. Nevertheless, the majority opinion read into a statute more than the plain text allows, presuming that Congress did not say in § 503(b)(3)(D) what it meant nor meant what it

said there. If inconsistencies do exist in the interpretation of § 503(b), the authority to enact change to address these inconsistencies rests with Congress, not the courts. *See Taylor v. Freeland & Kronz*, 503 U.S. 638, 645–46 (1992).

As with any statutory construction case, the court starts, "of course, with the statutory text." *Sebelius v. Cloer*, 569 U.S. 369, 376 (2013). "It is a commonplace of statutory construction that the specific governs the general." *RadLAX Gateway Hotel, LLC v. Amalgamated Bank*, 566 U.S. 639, 645 (2012). This notion is particularly important where "Congress has enacted a comprehensive scheme and has deliberately targeted specific problems with specific solutions." *Id*. Although § 105(a) grants bankruptcy courts broad power to issue necessary or appropriate orders, bankruptcy courts may only exercise that power "within the confines of the Bankruptcy Code," *Law v. Siegel*, 571 U.S. 415, 421 (2014), and it most certainly is not a "roving commission to do equity." *United States v. Sutton*, 786 F.2d 1305, 1308 (5th Cir. 1986). "We walk on quicksand when we try to find in the absence of corrective legislation a controlling legal principle." *Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F.3d 810, 822 (6th Cir. 2015) (O'Malley, J., dissenting) (quoting *Helvering v. Hallock*, 309 U.S. 106, 121 (1940)).

The textual structure of § 503(b)(3)(D) and the prefatory language dictate the result here. Put simply, § 503(b)(3)(D) only lists administrative expenses for substantial contributions for cases under chapters 9 or 11, so they are only allowed in chapters 9 and 11. The text states that there shall be administrative expenses for expenses "incurred by . . . a creditor . . . in making a substantial contribution in a case under chapter 9 or 11 of this title." 11 U.S.C. § 503(b)(3)(D) (2016). If it is not a case under either chapter 9 or 11, then a substantial contribution administrative expense is not allowed. In the case at bar, all of Weinberg's activities to substantially contribute happened after the case was converted to chapter 7. Thus it is not a case under chapter 9 or 11. Therefore a

substantial contribution is not allowed. Very rarely do cases lend themselves to the basic Ps and Qs of formal logic, but this is as straightforward as they come. Overlooking this threshold ban to Weinberg's claim, the majority improperly continued its analysis.

The majority interpreted the general to trump the specific based on an overinclusive reading of the word "including" back in the prefatory language of § 503(b). (R. at 18). That provision reads: "After notice and a hearing, there shall be allowed administrative expenses . . . including . . . ." *Id.* § 503(b). Section 503(b) is a non-exhaustive list made up of exhaustive and non-exhaustive lists. The Thirteenth Circuit rightly reads "including" to mean that the list that follows it is non-exhaustive, but it goes too far by reading "including" into each sub list. Take the section that immediately follows the "including" in question: "the actual, necessary costs and expenses of preserving the estate *including* . . . ." *Id.* § 503(b)(1)(A) (emphasis added). If the initial "including" made every list after it non-exhaustive, then Congress would not have included "including" in § 503(b)(1)(A). Thus, Congress did not intend for every sub list to be non-exhaustive.

Where Congress expressly made § 503(b)(1)(A) non-exhaustive, it made § 503(b)(3) exhaustive. The section reads: "the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, *incurred by* . . . ." *Id.* § 503(b)(3) (emphasis added). "Incurred by" does not suggest a non-exhaustive list like "including" does—quite the contrary. *See Mosier v. Kupetz (In re United Educ. & Software)*, No. CC–05–1067–MaMeP, 2005 WL 6960237, at *7 (B.A.P. 9th Cir. July 29, 2005). Congress deliberately laid out the ways that a creditor may recover administrative expenses in § 503(b)(3) to encourage creditor participation during reorganization and to minimize administrative expenses to preserve the estate for all creditors. *See Lebron v. Mechem Fin. Inc.,* 27 F.3d 937, 946 (3d Cir. 1994). Allowing the

Thirteenth Circuit's expansive interpretation would contravene the plain intent of Congress and encourage creditor misbehavior.

The Sixth Circuit's extraordinary decision in *In re Connolly* was principally responsible for demagnetizing the majority's compass for legal reasoning. In *In re Connolly*, three of the debtor's unsecured creditors removed the chapter 7 trustee after the court found that the trustee had been grossly negligent. *In re Connolly N. Am., LLC*, 802 F.3d at 813. After recovering damages from the old trustee, the creditors applied for substantial contribution administrative expenses because the bankruptcy court noted that they had "contributed greatly" to the estate. *Id*. Despite that comment, the court denied the expenses, and the creditors appealed. *Id.* at 813–14.

Relying on the word "including" in § 503(b), the Sixth Circuit grossly enlarged the purview of § 503(b)(3)(D). According to the court, "including" means that the list of approved expenses is not exhaustive, but rather a "contextual framework" to "provide guidance." *Id.* at 816–17. Because chapter 9 and 11 creditors spend their own time and resources "as a matter of course" and trustees take care of everything else in chapter 7, "it makes good sense" that Congress would leave out chapter 7 in § 503(b)(3)(D). *Id.* at 817. At this point, the Sixth Circuit should have stopped and let Congress's good sense govern.

Instead, the extraordinary facts of the case before it compelled the Sixth Circuit to override Congress's intent. Only in "the most atypical Chapter 7 case" does a trustee not do its job. *Id*. That case, in the Sixth Circuit's estimation, was a "most atypical Chapter 7 case" because the second trustee did not remove the first trustee, causing the creditors to step into that role themselves. *Id*. If the new trustee had done his job according to the Code, then the estate would have paid the administrative expense for removing the old trustee. *Id*. Thus, a contrary ruling would disallow

"an administrative expense that would have been allowed had the bankruptcy proceeded as intended by the Bankruptcy Code." *Id*.

This seems like an equitable result, except that the court equivocates on the term "administrative expense." If the bankruptcy had proceeded as intended by the Code, then the second trustee would have removed the first trustee, and the estate would have paid the administrative expenses because they were incurred by the *trustee*. *See* 11 U.S.C. § 503(b)(2). But, in this case, the administrative expenses were incurred by the *creditors*. Where the Code expressly allows administrative expenses for the *trustee's* costs, it does not expressly allow administrative expenses for *creditors'* costs in making substantial contributions under chapter 7. Thus, contrary to the Sixth Circuit's assertion, the "administrative expense that would have been allowed had the bankruptcy proceeded as intended" and the administrative expense that it awarded are not the same. *Compare* 11 U.S.C. 503(b)(2), *with id.* § 503(b)(3)(D). At this point in the opinion, the court sank in quicksand while searching for a controlling legal principle. *See In re Connolly N. Am. LLC*, 802 F.3d at 822 (O'Malley, J., dissenting).

At most, *In re Connolly* stands for the proposition that substantial contribution administrative expenses are allowed only in "the most atypical of Chapter 7 case[s]," but the case at bar is one of the most routine. 802 F.3d at 817; *see also In re Javed*, 592 B.R. 615, 617 (Bankr. D. Md. 2018) (holding that "only extraordinary circumstances warrant" claims in chapter 7); *In re Maust Transp., Inc.*, 589 B.R. 887, 899 (Bankr. W.D. Wash. 2018) (holding that allowance of claims in chapter 7 "will be rare" and "should be limited"); *In re Ideal Mortg. Bankers, Ltd.*, 539 B.R. 409, 435 (Bankr. E.D.N.Y. 2015) (requiring that "but for the assistance of the creditor," the trustee would not have benefitted the estate). In fact, "86% of bankruptcy or district courts" denied

recovery in a chapter 7 case, underscoring how exceptional *In re Connolly* really is. *In re Health Trio, Inc.*, 584 B.R. 342, 353 (Bankr. D. Colo. 2018).

Here, within the month that the Debtor converted, Weinberg took it upon himself to perform a creditor's examination for his seven-month-old judgment before the trustee could even take his snowshoes off to open the case. (R. at 7). The trustee would have found the fraudulent transfers in due time. Unlike the cases that might allow recovery in chapter 7, this bankruptcy was exceedingly plain. The only thing extraordinary about this case was Weinberg's brazen disregard for the procedures in the Bankruptcy Code.

The majority opinion is snowblind to the plain language of § 503(b)(3)(D) and the commonsense application adopted by eighty-six percent of courts. Instead of recognizing Congress's specific solution to the specific problem of substantial contribution administrative expenses, the majority opinion allows for vigilante creditors to usurp the powers of a chapter 7 trustee and collect estate property on their own. Accordingly, this Court should reverse the Thirteenth Circuit and dismiss Weinberg's request for administrative expenses.

C. Congress Has Consistently Reaffirmed Its Intent to Limit § 503(b)(3)(D) to Cases Under Chapter 9 and 11, Excluding Cases under Chapter 7.

Congress is very careful with how it doles out administrative expenses, so if § 503(b)(3)(D) does not specifically allow for them in chapter 7, then Weinberg cannot override congressional intent to provide for them. Courts are cautious when awarding administrative expenses because of where they sit in the priority scheme. *Supplee v. Bethlehem Steel Corp. (In re Bethlehem Steel Corp.)*, 479 F.3d 167, 172 (2d Cir. 2007). Administrative expense claims are second in the priority scheme, which limits the amount recoverable by creditors lower in the scheme. *See* 11 U.S.C. § 507(a) (2016). Thus, to maximize the value of the estate preserved for the benefit of *all* creditors, these expenses must be narrowly construed. *In re Energy Future Holdings Corp.*, 575 B.R. 616,

634 (Bankr. D. Del. 2017). Congress is careful on how estate property is allocated among creditors. *See* 11 U.S.C. § 502. For example, § 502(b)(6) allows a landlord to recover rent stemming from a terminated lease, but § 502(b)(6)(A) sets a cap to prevent drain upon the estate. *Compare id.* § 502(b)(6), *with id.* § 502(b)(6)(A). In the same way, when Congress contemplated which substantial contributions to allow under § 503(b)(3)(D), it limited who could recover through an administrative expense.

When constructing a statute, it is presumed that Congress "acts intentionally and purposely in the disparate inclusion or exclusion" of specific provisions. *Russello v. United States*, 464 U.S. 16, 23 (1983). When Congress includes something in one part of a statute and excludes it in another part of the same statute, Congress's silence should be read as intentional. *See N.L.R.B. v. Bildisco & Bildisco*, 465 U.S. 513, 522–23 (1984). Many times, congressional inaction alone is unpersuasive evidence of congressional intent, but if the intent is supported by "more than mere congressional inaction," the inference becomes much stronger. *Zemel v. Rusk*, 381 U.S. 1, 11 (1965). When taking § 503(b) in context, Congress's intent can more easily be gleaned.

Section 503(b)(3)(D) derives from § 243 of the Bankruptcy Act, which allowed compensation for creditors and others making a substantial contribution to a proceeding. 4 Collier on Bankruptcy ¶ 503.LH (Richard Levin & Henry J. Sommer eds., 16th ed. rev. 2018). Both House and Senate bills prior to the passage of § 503(b)(3)(D) provided for compensation for a substantial contribution solely in chapter 9 and 11 proceedings, and not in chapter 7. H.R. 6, 95th Cong. (1977); S. 236, 94th Cong. § 4–403(a)(8), (9) (1975). Section 503 was amended both in 1994 and in 2005. *See* 4 Collier on Bankruptcy ¶ 503.LH (Richard Levin & Henry J. Sommer eds., 16th ed. rev. 2018). Before these amendments, several courts had already disallowed administrative expenses for substantial contribution under § 503(b)(3)(D) in chapter 7 cases. *See, e.g.*, *Lebron,*

27 F.3d at 946; *In re Fesco Plastics Corp.*, 996 F.2d 152, 157 n.5 (7th Cir. 1993); *Goodman v. Phillip R. Curtis Enters.*, 809 F.2d 228, 231 n.4 (4th Cir. 1987).

Congress specifically chose to make changes to 11 U.S.C. § 503(b)(3), adding § 503(b)(3)(F) in 1994 to clarify any confusion regarding allowable administrative expenses for committee members under 11 U.S.C. § 1102. H.R. Rep. 103-835, at 39 (1994), *reprinted in* 1994 U.S.C.C.A.N. 3340, 3348. Although several cases had already denied administrative expenses for substantial contributions in a chapter 7 case, neither amendment addressed nor changed this interpretation. *Id.* & 39 n.6. Read as a whole, the legislative and judicial history of § 503(b)(3)(D) regarding substantial contribution claims under chapter 7 is "more than mere congressional inaction." *Rusk*, 381 U.S. at 11. Therefore, the majority opinion's interpretation contravenes Congress's intent for administrative expenses in chapter 7 cases.

Further, Congress may have intentionally left chapter 7 out of § 503(b)(3)(D) due to the potential difference in outcome between a chapter 7 case and one under chapter 9 or 11. *See* Nathaniel R. Hull, *Section 102(3): "Includes" and "Including" Are Not Limiting*, Am. Bankr. Inst. Journal, Feb. 2016, at 38. Because § 727(a)(1) is limited to individuals, corporate chapter 7 debtors do not get a discharge on unadministered assets upon the closing of the case. *See id*. Therefore, administrative expenses may not be necessary to enable recovery in those instances. *See id*.

The Thirteenth Circuit's decision misinterpreted the plain language of § 503(b)(3)(D) and in the process drove an ice pick into Congress's carefully planned scheme for administrative expenses in the name of the bankruptcy court's equitable powers. Bankruptcy courts' powers to do equity are limited by the Code, and § 503(b)(3)(D) is clear on the limits here. Hence, this Court should reverse the Thirteenth Circuit and dismiss Weinberg's claim for administrative expenses.

CONCLUSION

Throughout this bankruptcy, Weinberg has skated around the plain directives of the Bankruptcy Code to collect on his debt without regard to the welfare of the estate. Despite clear statutory language to turnover the snow plow trucks, Weinberg obstinately held them in his warehouse, leaving the Debtor out in the cold. Weinberg's repeated refusals to hand over the snow plow trucks forced the Debtor to file chapter 11. Not satisfied to have ruined the Debtor's business, Weinberg disobeyed the Code and forced the Debtor into chapter 7. Even as the trustee lined up a sale of the Debtor's business, Weinberg refused to return the trucks, which forced the trustee to take $100,000 less at a later sale.

As the estate's value melted, Weinberg ventured to seek his own monetary gain without consulting the bankruptcy court. While he ended up substantially contributing to the estate, Weinberg incurred $25,000 of attorneys' fees and wants the estate to pay. But the plain language simply does not allow him to recover. Accordingly, this Court should reverse and remand the Thirteenth Circuit's erroneous holdings with instructions dismiss Weinberg's claim for administrative expenses.

WHEREFORE, PREMISES CONSIDERED, Petitioner respectfully prays that this Court reverse the decision of the Thirteenth Circuit.

Respectfully Submitted,

_____

Team P37
Brief for Petitioner

APPENDIX A: Selected Sections of the U.S. Constitution.

U.S. Const. Art. I, § 8, cl. 4

The Congress shall have power to lay and collect taxes, duties, imposts and excises, to pay the debts and provide for the common defense and general welfare of the United States; but all duties, imposts and excises shall be uniform throughout the United States;

. . .

To establish a uniform rule of naturalization, and uniform laws on the subject of bankruptcies throughout the United States;

. . . .

APPENDIX B: Selected Sections from Title 11 of the U.S. Code.

§ 362. Automatic Stay

(a) Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title, or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970, operates as a stay, applicable to all entities, of—

…

(3) any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate;

§ 363. Use, Sale, or Lease of Property

(a) In this section, "cash collateral" means cash, negotiable instruments, documents of title, securities, deposit accounts, or other cash equivalents whenever acquired in which the estate and an entity other than the estate have an interest and includes the proceeds, products, offspring, rents, or profits of property and the fees, charges, accounts or other payments for the use or occupancy of rooms and other public facilities in hotels, motels, or other lodging properties subject to a security interest as provided in section 552(b) of this title, whether existing before or after the commencement of a case under this title.

(b) (1) The trustee, after notice and a hearing, may use, sell, or lease, other than in the ordinary course of business, property of the estate, except that if the debtor in connection with offering a product or a service discloses to an individual a policy prohibiting the transfer of personally identifiable information about individuals to persons that are not affiliated with the debtor and if such policy is in effect on the date of the commencement of the case, then the trustee may not sell or lease personally identifiable information to any person unless—

(A) such sale is inconsistent with such policy; or

(B) after appointment of a consumer privacy ombudsman in accordance with section 332, and after notice and a hearing, the court approves such sale or such lease—

(i) giving due consideration to the facts, circumstances, and conditions of such sale or such lease; and

(ii) finding that no showing was made that such sale or such lease would violate applicable nonbankruptcy law.

(2) [omitted]

…

(e) Notwithstanding any other provision of this section, at any time, on request of an entity that has an interest in property used, sold, or leased, or proposed to be used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest. This subsection also applies to property that is subject to any unexpired lease of

personal property (to the exclusion of such property being subject to an order to grant relief from the stay under section 362).

§ 503. Allowance of administrative expenses

(a) An entity may timely file a request for payment of an administrative expense, or may tardily file such request if permitted by the court for cause.
(b) After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including—
(1)(A) the actual, necessary costs and expenses of preserving the estate including—

. . .

(3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by—

. . .

(B) a creditor that recovers, after the court's approval, for the benefit of the estate any property transferred or concealed by the debtor;

. . .

(D) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title;

(F) a member of a committee appointed under section 1102 of this title, if such expenses are incurred in the performance of the duties of such committee;

. . .

(4) reasonable compensation for professional services rendered by an attorney or an accountant of an entity whose expense is allowable under subparagraph (A), (B), (C), (D), or (E) of paragraph (3) of this subsection, based on the time, the nature, the extent, and the value of such services, and the cost of comparable services other than in a case under this title, and reimbursement for actual, necessary expenses incurred by such attorney or accountant

. . . .

§ 542. Turnover of property to the estate

(a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

. . . .